

started with a tiny pool of capital—and add to that pool over the years—is a huge advantage.

5. There are thousands of publicly traded businesses in the United States, and you can buy a stake in any of them with a few mouse clicks. You can buy stocks in a plethora of other countries with ease as well. I'd estimate that the average individual investor could easily buy a stake in well over 100,000 businesses around the planet with a couple of brokerage accounts. In contrast, think about how many private businesses are on sale within 25 miles of your home at any given time. There is just no comparison.
6. At the racetrack, the track owner takes 17 percent of every dollar bet. The frictional costs are very high. Even when you buy a tiny private business, transaction costs between the buyer and seller are usually between 5 percent to 10 percent of the purchase price, which doesn't include the considerable time and effort expended. You can buy or sell a stake in a publicly traded company for under \$10. With a \$100,000 portfolio and even at a hyperactive 50 trades a year, frictional costs are 0.5 percent—and they keep getting lower (as a percent) as the value of the portfolio rises over time. Ultra-low frictional costs are a huge advantage.

Having an ownership stake in a few businesses is the best path to building wealth. And with no heavy lifting required, bargain buying opportunities, ultra-low capital requirements, ultra-large selection, and ultra-low frictional costs, buying stakes in a few publicly traded existing businesses is the no-brainer Dhandho way to go.